

MODEL QUESTION PAPER**FIFTH SEMESTER DIPLOMA EXAMINATION IN COMMERCIAL PRACTICE****CAPITAL MARKET**

Maximum Marks : 100

		MARKS
PART A		
I	Answer the following questions in one or two sentences . Each question carries 2 marks.	
a)	What do you mean by Primary Capital Market?	
b)	State the meaning of Non-banking financial Institutions.	
c)	What do you mean by Gilt-edged securities?	
d)	State the meaning of the term 'Cornering'	
e)	What is Trade Bill?	5 x 2 =10
PART B		
II	Answer any five questions. Each question carries 6 marks.	
a)	State the factors influencing the growth of Capital Market.	
b)	List out the importance of Capital Market.	
c)	State the objectives of SEBI.	
d)	State the advantages of Preference Shares.	
e)	State six differences between Broker and Jobber.	
f)	List out the requirements for Listing of Securities in a Stock Exchange.	
g)	List out six advantages of Mutual Funds.	5 x 6 = 30
PART C		
	Answer one full question from each Module.	
Module I		
III a)	State the features of Capital Market.	8
b)	List out the functions of Primary Capital Market.	7
OR		
IV a)	List out the components of Capital Market.	8
b)	State the differences between Primary Capital Market and Secondary Capital Market	7
Module II		
V a)	List out the merits and demerits of Equity Shares.	8
b)	State the advantages of Debentures.	7
OR		
VI a)	Explain 1) Commercial Paper 2) Treasury Bills 3) Call Money 4) Certificate of Deposits	8
b)	State disadvantages of Debentures	7
Module III		
VII a)	Explain 1) Jobber 2) Taravaniwallas 3) Remisier s 4) Commission Broker	8
b)	Explain the criteria for membership in a Stock Exchange.	7
OR		
VIII a)	Explain 1) Kerb Trading 2) Arbitrage 3) Wash Sales 4) Rigging	8
b)	Describe the procedures for Listing of Securities.	7
Module IV		
IX a)	List out SEBI guidelines regarding Companies Act 1956.	8
b)	Describe functions of IDBI and Explain its role in Capital Market.	7
OR		
X a)	Describe functions of IFCI and explain its role.	8
b)	Describe the registration procedure of Mutual Fund.	7